Harvesting Value from Closed Blocks

The Opportunity, Cost, and Benefit Realizations of the Life Insurance Industry's Largest Untapped Asset

Presented by

ANDESA SERVICES

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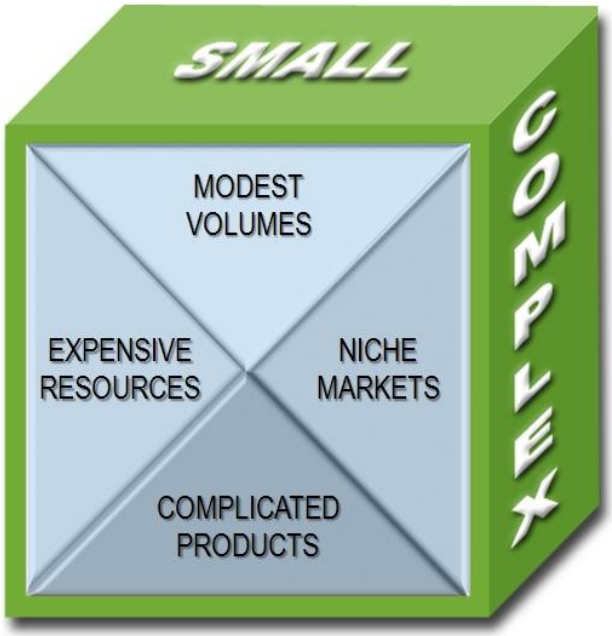
Abstract

What should a Life and Annuity company do with a closed block portfolio of complicated, benefit-rich, high-maintenance policies and contracts? The simple answer is simple: optimize. Optimizing the value of closed blocks is a strategic imperative.

A closed block is loosely defined as a group of policies that are no longer actively sold and positioned for run out. This makes them an ideal target for companies looking to liberate financial and human resources. Moreover, improving the margins on portfolios not actively sold has a positive impact on top and bottom line performance.



Since elevated unit costs are a function of high expenses and low volumes, a particular subset of closed blocks stands apart, particularly ripe for address. These small, complicated closed blocks often share the following characteristics:

- Modest volumes of policies/contracts
- Products designed to meet the needs of a niche target market
- Harbored, unique benefits and esoteric product features
- Expensive, highly skilled business people and custom technology solutions

This white paper provides closed block insights and discusses optimization tactics to help the Life and Annuity company maximize its return on closed blocks. It specifically defines the best solution to manage the most troublesome closed block portfolios – effectively and efficiently.

In short, the optimal solution for closed blocks maximizes margin, unlocks latent value, and delivers capital to fuel strategic initiatives. The successful solution is rooted in preservation of the policy holder–carrier relationship, while leveraging technological efficiency offered by a modern solution.

Allowing the insurance company to maintain intimate customer contact, and employ the power of a low-cost technical platform is the ideal mix of insurance company and outsourcing vendor capabilities. As such, the SaaS/ASP model is the most powerful solution for closed blocks – especially the portfolio of complicated, benefit-rich, high-maintenance policies and contracts.

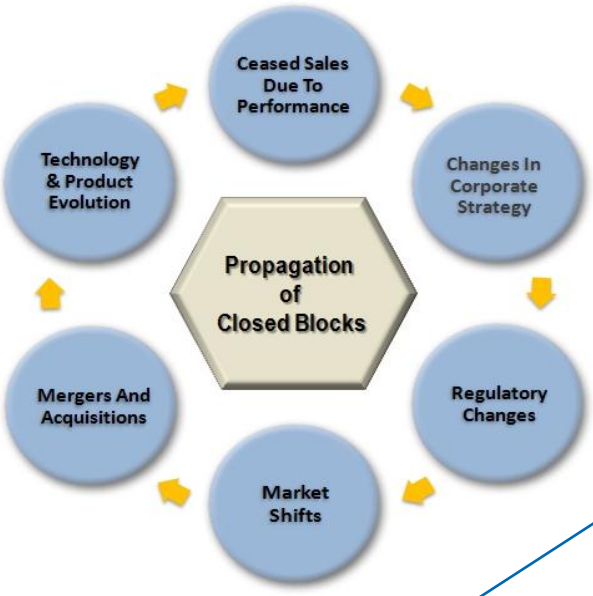
Premise

Closed blocks are a fertile source of untapped financial and human assets that can provide Life and Annuity companies the opportunity to reduce costs and free up capital for strategic initiatives.

Condition

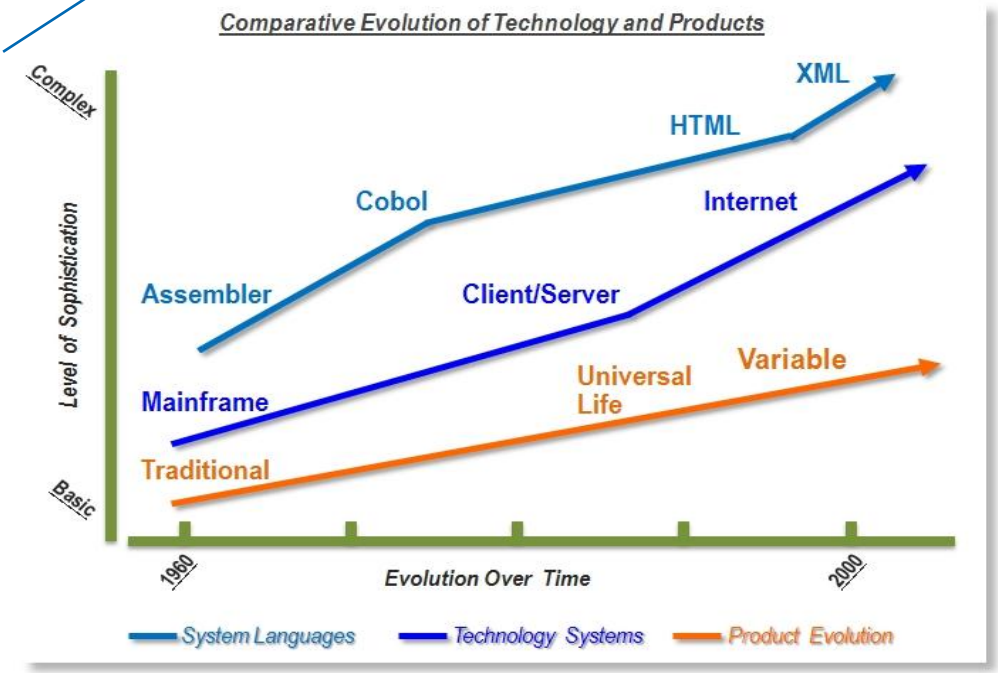
Many Life and Annuity companies have a number of closed blocks. Improving margins on in-force blocks (especially on non-core portfolios not actively sold) has a positive impact on top and bottom line performance.

A number of drivers are responsible for the propagation of closed blocks. These include:



- **Ceased sales due to performance, such as:**
  - Poor pricing
  - Lack of scale
  - Capital constraints
  - Lapse rates
  - Mortality / morbidity
- **Changes in corporate strategy, like:**
  - Shedding or shuttering non-core assets
  - Demutualization
- **Regulatory changes**
- **Market shifts**
- **Mergers and acquisitions, primarily:**
  - Redundant systems and functions
  - Non-strategic portfolios

- **Technology and Product Evolution:**
  - Development of IT innovations that make existing technology obsolete and promise efficiency
  - Product innovation requiring new and more robust system capabilities



Large vs. Small Blocks

Closed blocks come in all shapes and sizes, as described below:

- **Large blocks of traditional products (sometimes referred to as "ordinary business")**

  Often these are relatively simple term, whole life, as well as universal life product designs. The volume of these blocks may range from hundreds of thousands of policies to millions of policies. In addition, these blocks often carry massive reserves, and account for significant recurring premiums.

  For portfolios of larger scale, the insurer has viable operational and financial alternatives from which to choose:

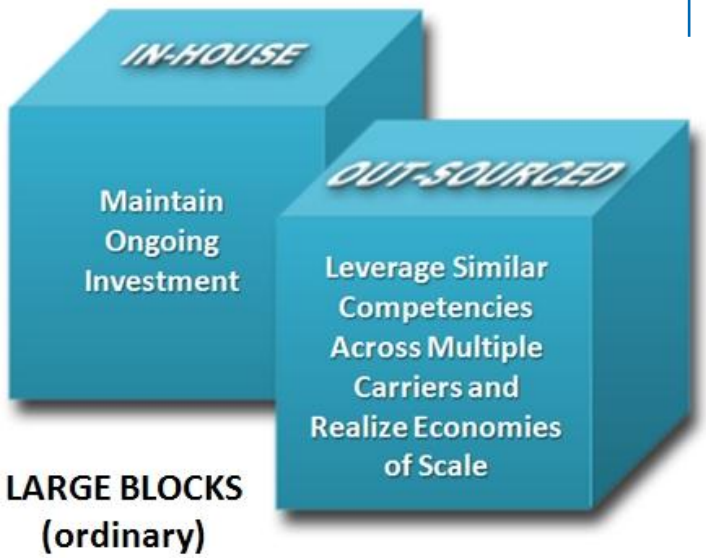
  - The carrier can choose to maintain the block in-house. However, it must have sufficient scale to warrant ongoing investment.
  - The carrier may choose to outsource the block. Most outsourcers willingly assume large homogeneous blocks. This is because they can leverage similar competencies across multiple carriers and realize economies of scale.

- **Small blocks of niche (complex) products**

  With its inherent complexities and relatively modest scale, a small closed blocks, poses a challenge to the insurer: how to maximize the block's value in light of its unique characteristics.

  For small closed blocks, the insurer has the following characteristics to consider:

  - Generally, these products are targeted to meet a specific market segment. They tend to have complex designs with certain "bells and whistles" designed to attract a particular customer.
  - The volume of these blocks may range from a few hundred policies up to one hundred thousand. Such compromised volume may be attributed to a limited target market, or that the product design is/was not widely accepted by the intended audience,
  - Due to the nature of the products' benefits and provisions, these blocks typically require highly skilled resources to service them.
  - Small blocks often operate on purpose-built, highly customized systems that tend to be non-core, non-strategic IT platforms.
  - The customer base may be affluent with high service expectations.
  - The portfolio may hold significant assets and/or hold potentially valuable client relationships.
  - As these blocks increase in number, operational efficiency decreases and, service teams become fragmented.



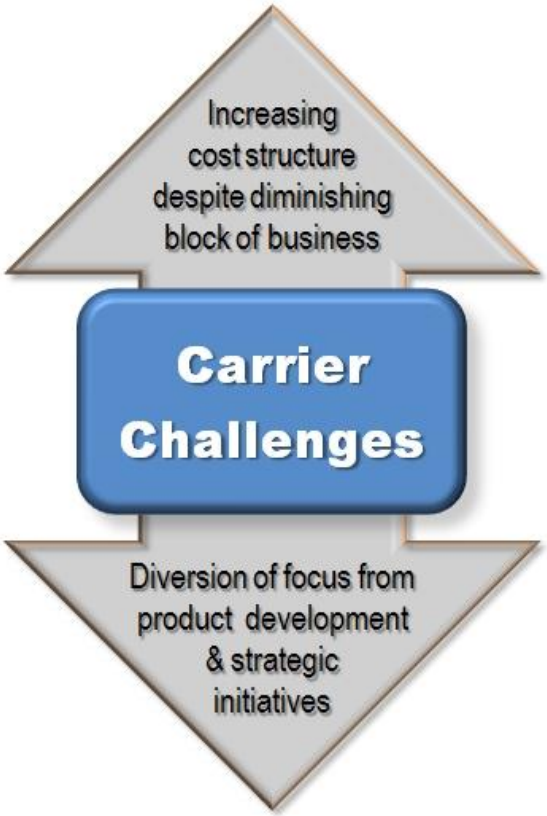
LARGE BLOCKS (ordinary)

VS

SMALL BLOCKS (complex)

Carrier Challenges

Due to regulatory changes, market shifts, and product obsolescence, small closed blocks are an ever-increasing portion of a Life and Annuity company's portfolio. As mentioned previously, carriers must contend with non-core, non-strategic blocks of business. This creates two basic challenges:



- **Cost**
  The carrier battles a cost structure that continues to increase over time. This can happen even though the block of business typically diminishes as time progresses. A number of factors contribute to this:
  - **Maintenance of Service Standards**
    The carrier must continue routine spending to maintain service standards to retain customers, and safeguard its reputation.
  - **Proliferation of Manual Processes**
    Most system initiatives focus on expeditiously getting a product on the street for new business (open portfolio). Many "Day 2" system enhancements for closed blocks are delayed or cancelled. Therefore, complex spreadsheets and manual processes are required to compensate, as well as offset the Day-2 backlog.
  - **Antiquation of systems**
    Systems used to maintain these blocks of business often become obsolete and more costly to maintain as time progresses. In addition, the cost of maintaining the systems is not directly proportional to the number of polices on the system; it costs as much to maintain a system for a thousand policies as it does for fifty-thousand policies.
  - **Increasing Costs of Technical Resources**
    Since the risks of losing institutional knowledge on these systems is significant, a carrier often pays more to retain these "technical experts" who are constantly lured by the attraction of newer and "more interesting" technologies.
- **Focus**
  The carrier's focus can be diverted from the need for product development and strategic initiatives.

Alternatives

The following two alternatives are suggested: 1) Optimize value, or 2) Outsource the business.

Optimizing Value

Life and Annuity companies have various ways to optimize the value of closed blocks.

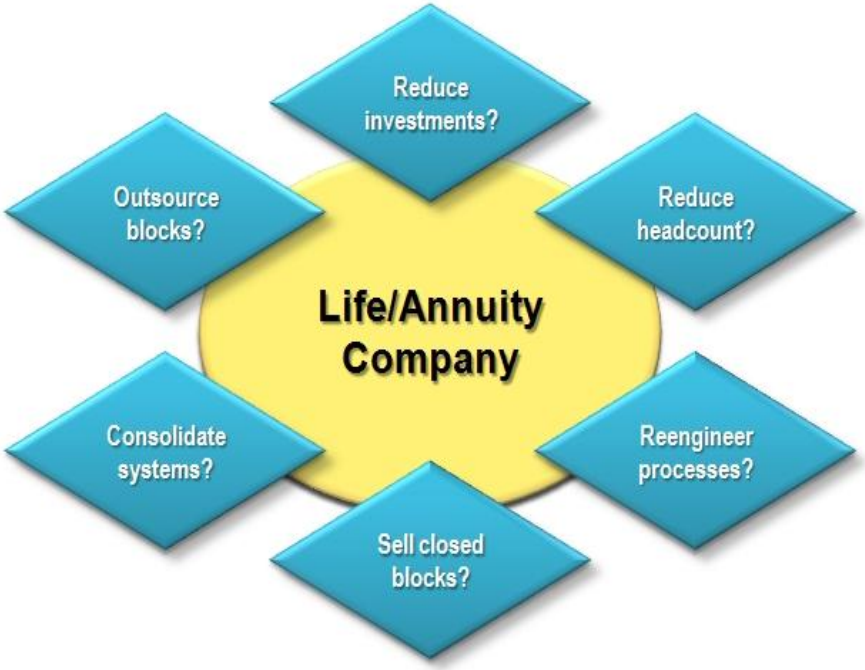
- **Reduce investment in the legacy system**
  A reduction in legacy system spending will deliver expense savings: savings that can then be redirected toward investment in new products and services. However, operational costs are adversely impacted, as workarounds and manual processes must be introduced to compensate for the lack of IT investment.

- **Reduce headcount associated with the closed block**
  A reduction in headcount will provide expense savings, but staff reduction can result in deteriorating customer service, and a stressed workforce. However, compensating investments in technology can help offset fulltime equivalent (FTE) reduction in staff.

- **Perform business process reengineering (e.g., Lean, Six Sigma ,etc.)**
  This approach can deliver operational improvements and yield savings. However, real expense reductions come from optimizing processes through automation. If a commensurate IT investment does not accompany the business process reengineering (BPR) exercise, the gains are limited.

- **Sell the closed block**
  Life and Annuity companies may not want to surrender the associated surplus and part with any of their customer base. These companies may be resistant to losing scale, cross-selling opportunities, and the opportunity to convert the closed block to a better, more profitable product, or cost effective platform.

Options for Optimizing Value



- **Consolidate systems internally**
  System consolidation requires converting policies to a common platform. The migration is often challenging (due to a lack of historical documentation, poor data quality, resource contention, etc.) and very costly with large project overruns being the norm. Consequently, most insurers conclude that a positive business case cannot be made for a block that is non-strategic as well as in runoff mode.

- **Outsource the block of business**
  It is widely accepted that contracting for outsourcing IT and professional services is a cost-effective option. Outsourcing offers the resources for handling specified business functions and/or managing technical commodities like data center, hardware, software, as well as business application support and maintenance.

Outsourcing Business

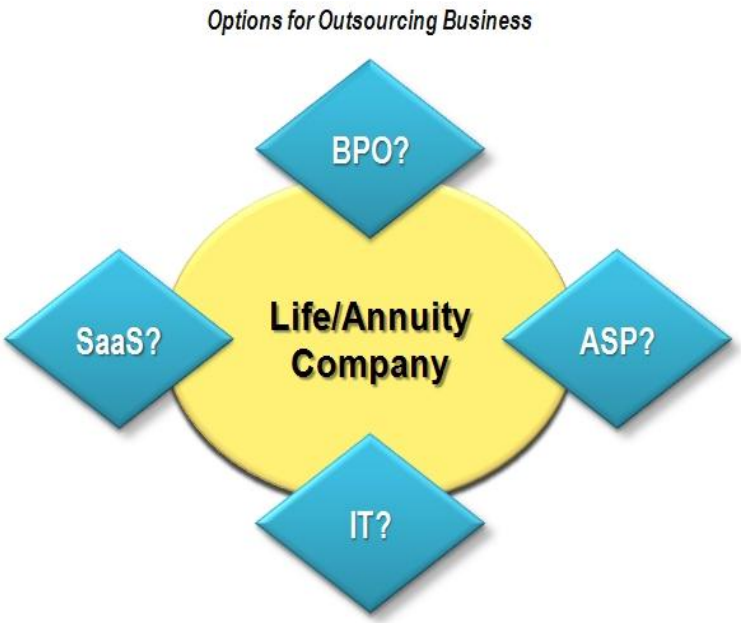
A carrier has a number of options available if it chooses to outsource a closed block of business. Those options include the following:

- **Information Technology Outsourcing (IT)**
  This option refers to the delegation of some (or all) IT functions to one or more external partner(s).

  While wholesale IT outsourcing (a.k.a. "Lift and Shift", Application Management Agreement, or ITO) to an offshore provider may reduce the IT wage cost component, many companies find offshoring does not work well for certain business processes. This is because such outsourcers often rely on paper and have become dependent upon "local" knowledge. In addition, when offshored, remote application management, language, and cultural differences sometimes prove problematic.

- **Business Process Outsourcing (BPO)**
  This option involves delegating some (or all) business functions to one or more external partners.

  Like IT outsourcing, selecting an offshore BPO provider for commoditized business processing may also reduce the wage cost component. However, companies find that complex insurance products and processes do not translate well to a third party (regardless of geographical location). Moreover, under a BPO arrangement, the insurance company loses direct contact with its customer. This loss of contact may lead to erosion in client care, as well as a lost sense of 'feel' for the insurance company's constituency.



- **Application Service Provider (ASP)**
  This option provides remote access to business applications that are supported and hosted by the authoring third party. In this case, applications are multi-tenancy.

  OR

  Software as a Service (SaaS)
  This option provides access to web-native applications that are hosted by an authoring third party. In this case, applications are single tenancy.

  The adoption of the SaaS model, and its closely related ASP model, has demonstrated that a qualified outsource vendor can provide mission-critical applications in a secure, low-risk business arrangement, with favorable price points and terms.

USING SAAS / ASP SUPPORT CLOSED BLOCKS

Employing the SaaS / ASP model to support closed blocks requires a conversion to the outsourcer's business platform. The business case for migrating policy data from a legacy system to a new platform historically has been problematic: the potential for exorbitant cost, daunting scope, and projected timelines are often deemed unsound.

As such, the perceived risks associated with conversions have induced insurance companies to maintain the status quo, and abandon strategic platform initiatives that involve data migration. Nevertheless, times have changed, and the benefits of closed block conversion are too great to dismiss.

Moreover, a holistic view of conversion - one that contemplates various hard and soft benefits - can often build a compelling and viable business case. Such a conversion may include risk mitigation for an incumbent platform, reapplying highly skilled resources to strategic business initiatives, using a strategic consolidation platform, and adding new products to the new technology platform.

A key aspect to the SaaS / ASP model is that the insurance company maintains complete control of the business processing functions. It also addresses preservation of day-to-day interaction with the client and producer. The benefits of this method have been shown through market research performed by **Celent** (the leader in research and consulting for IT in the financial services industry - www.celent.com). Their study included ten areas of outsourcing concern.

OUTSOURCING CONCERNS

As previously mentioned, Celent used ten areas of concern to survey insurance companies about outsourcing business. In their report, ***Approaching the Boiling Point: BPO, SaaS in Insurance*** (http://www.celent.com/reports/approaching-boiling-point-bpo-saas-insurance), Celent asked, *"If your company were to outsource core policyholder and agent services, which of the following would be your top 3 areas of concern?"*

A ***summary*** of the Celent findings indicate that the most desirable outsourcing solution should have the following attributes:

- Maintain (and guarantee) services levels, possibly through binding Service Level Agreements.
- Give the insurance company control of critical functions (e.g., client facing processes like underwriting, call center, and claims adjudication)
- Provide audited data security (SAS70, SSAE16), disaster recovery (redundant data centers), and business continuity (periodic joint testing)
- Allow the insurance company to tailor its outsourced services to meet the needs of its customers; let the outsourcer provide the IT commodity and augment services on request
- Allow the insurance company to keep its customer service staff in direct contact with their constituent
- Partner with an outsourcing firm with a strong marketplace reputation that also works behind the scenes using the insurance company branding

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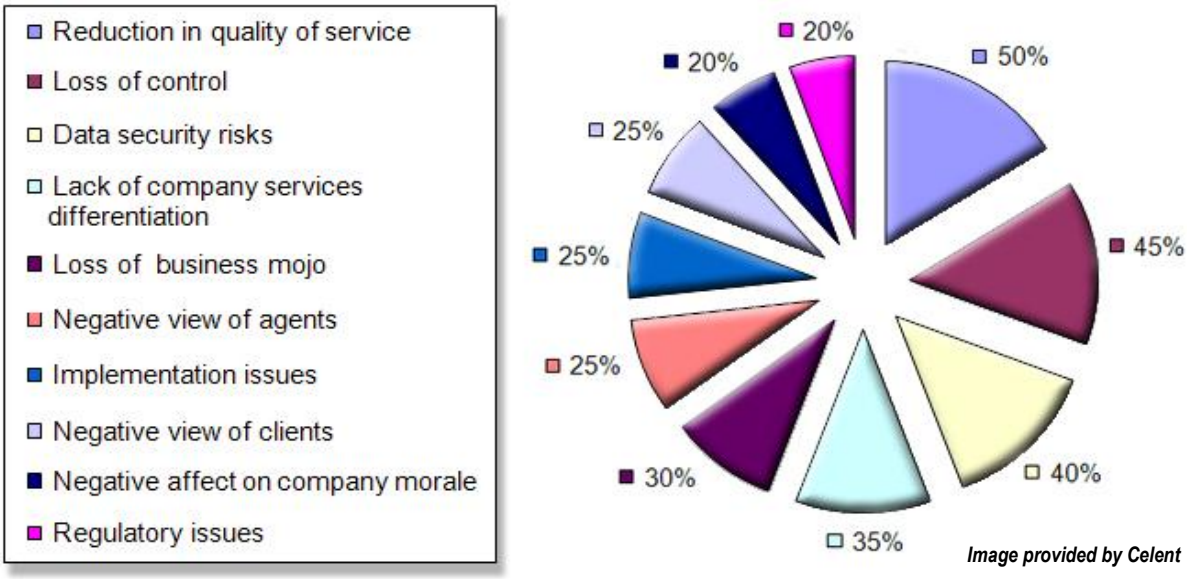
- Choose an outsourcing firm with a proven delivery track record that is financially fit and provides an array of clients that are available for reference
- Embrace an outsourcing model that insulates the end-customer from the outsourcer so the insurance company can manage ongoing client contact
- Structure an outsourcing relationship that minimizes the displacement of insurance company personnel, while it provides for powerful cost savings
- Engage with an outsourcer that provides services and solutions that meet or exceed state and Federal regulations

The response rate of industry participants on outsourcing concerns (similar to those above) would look something like this:



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NOTE:
The above attributes clearly point to the need for an outsourcing expert that specializes in SaaS/ASP solutions

Summary of Outsourcing Options – A Life Insurance Comparison

	SaaS	ASP	BPO	ITO
What	Insurance business operations performed by insurance company personnel using business applications offered by the third-party outsourcer.		A third party (on behalf of the insurance company) executes insurance business functions.	Information technology (or pure technical functions) are supported or managed by a third party on behalf of the insurance company.
	Candidates include: ▪ Sales force automation ▪ Client relationship management ▪ Web-based illustrations (run by authorized distributors of the insurance company) ▪ Web-based policy holder self-service transactions ▪ Web-based policy inquiry and on-line reporting	Candidates include: ▪ Illustrations run by authorized distributors of the insurance company ▪ Policy holder service transactions executed by insurance company staff ▪ Proprietary illustration and policy administration applications supported by the outsourcer	Candidates include: ▪ Finance / accounting ▪ Human resource management ▪ Investment management ▪ Customer care / call center support ▪ Underwriting ▪ Back office operation – Data entry – Premium services – Document management	Candidates include: ▪ Any or all parts of a SDLC practice area: – Coding – Testing – Re-engineering – Maintenance – Application development – Web site development ▪ Remote monitoring and maintenance, product support, IT security, network monitoring and management, etc.
How	Underlying hardware and software platforms supported by outsourcer in a secure data center. Proprietary third party software; right to use granted by third party		▪ Either party may host underlying hardware and software. ▪ Software ownership may reside with either party. ▪ Professional services conducted by third party; may require licensed personnel	▪ Either party may host underlying hardware and software. ▪ There is no ownership consideration of software.

The Optimal Solution - SaaS/ASP

It is clear that the overall, best solution for closed blocks is one that maximizes margin, unlocks latent value, and delivers capital to fuel strategic initiatives. The success of such a solution is rooted in the preservation of the policyholder/carrier relationship, while leveraging technological efficiency. In addition, the solution must allow the insurance company to maintain intimate customer contact, as well as employ the power of a low-cost, modern technical platform. Such is the ideal mix of insurance company and outsourcing vendor capabilities. Taking all of those issues into consideration it is more obvious than ever that the SaaS/ASP model is definitely the most powerful solution for closed blocks.

Getting Started

To overcome the "does-nothing" inertia, and capitalize on the abundant benefits of closed block conversion, insurance companies should look to an outsourcing partner with the following attributes:

- **Portfolio rationalization experience**
  Assess business product portfolios and establish a business-centric modernization strategy and roadmap.

- **Proven conversion methodology**
  Create a realistic project plan, that is executed with ruthless precision.

- **Proprietary conversion tools**
  Take complete control over the people and tools used to perform the conversion.

- **Modern technology**
  Assure that the business is not converting to something that is already outdated: the solution must be "evergreen".

- **Platform flexibility**
  Ensure the system has the ability to competently handle a myriad of product nuances, business functions, as well as well-articulated processes. A flexible system will minimize conversion cost, as well as potentially become a consolidation platform for many lines of business.

- **Support for individual and group products**
  Span traditional business silos offering inherent leverage and economies of scale across an enterprise that helps drop unit costs.

- **Proven case studies and client references**
  Provide multiple references for production support of scores of Life and Annuity products minimizing risks and providing assurance that the outsourcing partner will deliver as promised.

About Andesa Services

Since 1983 Andesa has specialized in managing complex Life and Annuity portfolios by providing leading technical solutions and business services made available through a SaaS/ASP delivery model.

Andesa's systems are perfectly suited to handle the most complicated life and annuity products. In addition, our efficient operation allows us to keep our outsourcing costs to a minimum.

Six of the top ten Life and Annuity companies in the United States leverage the outsourcing and professional service capabilities of Andesa to provide cost-effective solutions for their portfolios.

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